

Confidential Brief for Counsel

Prepared by Kyle McCahill (McCahill & Co.) · Landscaping contract dispute · 2367 Phillips Road, Sooke, BC · July 19, 2026

TIME-SENSITIVE — BUILDERS LIEN. Last day of work on site was **June 13, 2026**. If a 45-day claim-of-lien period applies, it may expire on or about **July 28, 2026**. Please advise on preserving lien rights against the property title before that date, as the owners are asserting a refund is owed and a lien may be the key leverage.

1. Parties & project

- **Contractor:** Kyle McCahill o/a McCahill & Co. (landscape construction). GST 740677638 RT0001.
- **Owners:** Teresa & Chris, 2367 Phillips Road, Sooke, BC V9Z 1L9.
- **Work:** Residential landscape project — flagstone pathway, excavation/hardscape prep, stone/aggregate, split-rail fence, and extensive planting. Billed on a time-and-materials basis (labour @ \$50/hr; materials/plants at cost plus markup).
- **Period:** approx. Feb 23 – June 13, 2026. No signed fixed-price contract; original ballpark ~\$25,000 "+/-" given Jan 29, 2026, expressly excluding rock border and plant/seed over \$2,000.

2. Financial position

Item	Amount (CAD)
Invoice #40 total (incl. GST)	\$49,635.09
Paid by owners (May 9, 2026)	\$32,500.00
Balance claimed on Invoice #40	\$17,135.09
Contractor's revised settlement position (this week)	\$8,582.17
Owners' asserted project value (their doc)	\$36,510.95
Owners' alternative: refund they claim is owed to them	\$3,912.35

3. The dispute (owners' position)

On approx. July 15, 2026 the owners delivered a 37-page response disputing Invoice #40. Their main points:

- **Cost overrun vs. written updates.** Contractor's own texts estimated ~\$33,555.70 (May 6) and an "updated invoice of \$34,158" (May 7); final invoice \$49,635. They say they were not told of the increase until an employee alerted them (~June 13).
- **Undisclosed markup.** ~70% blended markup disclosed only after the fact; not approved.
- **Fence.** \$5,450 split-rail fence not pre-agreed as fixed price; ~\$1,078 materials + 2 days labour.
- **Missing documentation.** Only 12 of 25 line items have complete receipts; ~\$3,625 unsupported supplier cost + ~\$5,400 in plant charges lacking itemization.
- **Two cost-schedule errors** (Jun 9 and May 6 lines) identified against the receipts.
- **Labour reliability.** They claim security footage on 3 workdays shows billed vs. actual hour discrepancies (May 29 already conceded by contractor).
- **Deficiencies (photo-documented):** lavender bed not restored to prior layout / 15 native plants left; utility-area river rock laid without fabric; river rock partly dumped near pad; dead blue-star juniper; struggling/dead delivered plants; excess aggregate; general cleanup.

- **Two options offered:** (1) contractor returns and completes/corrects all outstanding work with a hard cap of \$36,510.95 (owner supervision required, scope agreed in writing); or (2) owners hire another firm (independent estimate \$7,923) and claim a \$3,912.35 refund.

4. Contractor's position & leverage

- **Owners halted the work** (instructed no further onsite work; ~3-week stoppage). Much of the "incomplete/deficient" work is unfinished *because they stopped it*; post-stoppage plant decline, lack of aftercare, and no deer fence flow from that stoppage, not workmanship.
- **Labour largely conceded.** Owners accept ~292 of 296.5 billed hours, narrowing the real dispute to markup rate and the fence.
- **20% markup is owner-selected** and below trade norms for plant/nursery supply (commonly 50–100%).
- **Owners' own exhibits** (Myles texts, Oct 6, 2025) show the thyme-in-gravel approach was discussed and endorsed, undercutting the "deviation" claim.
- **Internal inconsistency** in owners' doc (refund stated as \$3,912.05 on p.13 vs \$3,912.35 on p.16).
- **Refund math is fragile** — depends entirely on their \$36,510 valuation; a defensible markup and fence value returns the value well above the \$32,500 paid.

5. Contractor's known vulnerabilities (candid)

- Own written estimates (~\$33.5k–\$34.2k) materially below the \$49,635 final — the strongest owner point.
- Fence not pre-agreed as fixed-price; large gap between cost and charge.
- Markup not disclosed/approved in writing before the work on a T&M job.
- Missing receipts (13 of 25 items) and two confirmed cost-schedule errors.
- Owners assert security-camera evidence on labour hours (extent unknown).
- Documented plant/quality deficiencies.

6. What the contractor wants

- **Preserve lien rights** before the ~July 28 deadline (priority).
- **Reject the refund claim** and the free-completion cap.
- **Negotiate a fair, prompt settlement** — target total project value ~\$40,000–42,000 (additional payment ~\$7,500–9,500). Contractor prefers a fast, fair resolution over prolonged process.
- Optionally, a paid return-to-complete arrangement if the owners want the outstanding items finished.

7. Document inventory (available)

- Invoice #40 (6 pp.); original ballpark estimate (text screenshot, Jan 29, 2026).
- Daily timesheets (crew, hours) for all billed dates.
- Supplier receipts for 12 of the larger cost lines; materials cost schedule (cost vs. billed).
- Planting design document.
- Prior written response to owners (point-by-point) + material cost schedule already sent.
- Owners' 37-page dispute response with photo exhibits and their recalculation tables.
- Text-message history with owners and with employee "Myles" (Oct 2025 – June 2026).

Prepared to assist counsel; not legal advice. Figures per contractor's records and the owners' July 2026 response document.